HANGS Construction · 13-Week Cash Flow Forecast

HANGS Construction Services LLC · Operating account x4417 · Weeks of November 2, 2026 to January 25, 2027 · Prepared November 2, 2026. DRAFT memo from the Accounting Machine. Unsigned. Invented demonstration data. Nothing is paid, posted or drawn because of this forecast; a person approves.

Cash starts at **$1,029,176.48**, the October bank reconciliation's adjusted book balance, and ends week 13 at **$1,484,745.39**. The lowest week is **week 6**, the week of December 7, at $209,598.57: $40,401.43 below the $250,000.00 minimum of the payment procedures, when the steel balance on PO-27-0511 is due on delivery. Unrestricted Cash meets the lender's $750,000.00 minimum at each month-end; the least headroom is $316,679.32 at December 31, 2026. Receipts are expected, not cash, until the bank shows them. 4 flags need the Controller.

The Thirteen Weeks

Week	Week of	Receipts	Disbursements	Ending Cash	Vs. Minimum
1	November 2	$0.00	-$233,321.40	$795,855.08	$545,855.08
2	November 9	$665,300.00	-$62,150.08	$1,399,005.00	$1,149,005.00
3	November 16	$0.00	-$256,917.22	$1,142,087.78	$892,087.78
4	November 23	$0.00	-$48,289.38	$1,093,798.40	$843,798.40
5	November 30	$0.00	-$149,599.83	$944,198.57	$694,198.57
6	December 7	$0.00	-$734,600.00	$209,598.57	-$40,401.43 below
7	December 14	$557,058.00	-$156,896.75	$609,759.82	$359,759.82
8	December 21	$367,945.00	-$71,300.00	$906,404.82	$656,404.82
9	December 28	$392,520.00	-$232,745.50	$1,066,179.32	$816,179.32
10	January 4	$0.00	-$137,000.00	$929,179.32	$679,179.32
11	January 11	$589,920.00	-$203,521.60	$1,315,577.72	$1,065,577.72
12	January 18	$0.00	-$64,900.00	$1,250,677.72	$1,000,677.72
13	January 25	$402,350.00	-$168,282.33	$1,484,745.39	$1,234,745.39

Opening cash $1,029,176.48; receipts $2,975,093.00; disbursements -$2,519,524.09. Receipts include contract payments on signed contracts and construction draws; both are expected, not cash.

By Category, Thirteen Weeks

Category	Thirteen Weeks
Contract payments, expected	$1,958,005.00
Customer deposits	$0.00
Construction loan draws, expected	$1,017,088.00
Other receipts	$0.00
Vendor runs: open bills at November 2	-$329,690.56
Vendor runs: committed construction costs	-$1,246,487.50
Payroll	-$681,228.80
Construction loan interest	-$62,689.77
Equipment loan principal and interest	-$19,813.17
Office rent	-$28,800.00
Insurance premiums	$0.00

Category	Thirteen Weeks
Referral commissions	-$51,900.00
Utilities and bank charges	-$4,114.29
Equipment purchase (discretionary)	-$94,800.00
Net cash flow	**$455,568.91**

Minimum Balance and the Liquidity Covenant

Month-End	Unrestricted Cash	Section 7.3	Headroom	Result
November 30, 2026	$1,092,926.97	$750,000.00	$342,926.97	Meets 7.3
December 31, 2026	$1,066,679.32	$750,000.00	$316,679.32	Meets 7.3
January 31, 2027	$1,485,245.39	$750,000.00	$735,245.39	Meets 7.3

Unrestricted Cash is the operating account plus $500.00 of petty cash; the $186,400.00 restricted retainage is excluded by the lender's definition. Without the planned Draws 9 and 10, January 31 would be $720,957.39. Sections 7.1 and 7.2 are balance sheet covenants tested in the monthly reporting package.

Variance From Last Week's Forecast

Week Ended November 1	Forecast	Actual	Variance
Opening cash	$1,045,450.09	$1,045,393.09	-$57.00
Contract payments, expected	$437,500.00	$0.00	-$437,500.00
Customer deposits	$0.00	$25,000.00	$25,000.00
Other receipts	$0.00	$212.47	$212.47
Vendor runs: open bills at November 2	-$176,060.65	-$40,057.65	$136,003.00
Utilities and bank charges	-$1,300.00	-$1,371.43	-$71.43
Ending cash	**$1,305,589.44**	**$1,029,176.48**	**-$276,412.96**

What Changed	Amount	From	To
Site 22 billed November 6, not October 30, after the customer's lender extended its draw approval; funds control nets $412,500.00 because the $25,000.00 customer deposit came in October 31	$437,500.00	Week ended November 1	Week 2
The October 29 run was held for the October close; its bills are in the November 5 batch	$136,003.00	Week ended November 1	Week 1
Three bills went on hold November 2 (KRE-2207, MLE-1401, SWR-8133) and follow their expected release; KRE-2207 is $1,950.00 lower for the credit memo requested	$101,217.00	Week 1	Weeks 2 and 3
PO-27-0511: the steel balance is due on delivery by the signed order, not net 30 (CF-4)	$552,000.00	Week 10	Week 6
Site 27 has a letter of intent and no signed contract (CF-2)	$447,265.00	Week 8	Not in the forecast
Draw 8 approved at $252,800.00, $7,200.00 below the amount requested	-$7,200.00	Week 2	Week 2
Payroll of November 6 at the approved preview instead of last week's estimate	-$318.40	Week 1	Week 1

Week 12 ends at $1,250,677.72 against last week's $1,703,427.08 for the same week, a change of -$452,749.36: the week ended November 1 came in $276,412.96 below last week's forecast and the later weeks changed by -$176,336.40.

Needs a Decision

Below the Minimum Balance · Week 6, December 7 to December 13 · $40,401.43

> *PAY-8 Cash and Approval (Payment Procedures page 5): “Keep at least $250,000.00 in the operating account after committed payroll. Expected receipts are not cash. The Controller and the CFO approve each run over $100,000.00 before release; the batch is prepared for them and never released by its preparer.”*
> *CF-6 Minimum Balance (Cash Forecast Procedures page 3): “Compare each week's ending cash with the minimum of PAY-8. For a week below it, show what would restore it: a discretionary payment that can be delayed, or a draw on the construction line within its availability. A person chooses.”*

Week 6 has $734,600.00 going out and nothing coming in: PO-27-0511 Ironvale Steel Buildings $552,000.00 on December 8; Compact track loader to replace the storm-repair rental, Kestrel Ridge Equipment Quote KRE-Q-2290 $94,800.00 on December 10; SC-27-05-01 Bluepine Concrete Works $46,200.00 on December 10. The next receipts are Draw 9, Site 19 in week 7. Under CF-6 a person chooses what restores it. Option A: delay the compact track loader to replace the storm-repair rental, $94,800.00 planned December 10, which is discretionary and has no purchase order; week 6 would end at $304,398.57. Option B: draw on the construction line, at least $40,401.43 before December 8, within the $142,912.00 still available under the $5,000,000.00 commitment after Draws 8 to 10. Nothing is delayed or drawn by this forecast.

Follow-up: Choose: delay the loader or request an advance before week 6 (Controller). Status: Open.

Dates Conflict

Payment Date Conflict · PO-27-0511 · $552,000.00

> *CF-4 Committed Costs and Large Payments (Cash Forecast Procedures page 2): “Forecast committed construction costs from the project manager's billing forecast, each in the run on or before its due date. For any payment over $100,000.00, take the due date from the signed contract or purchase order; when the billing forecast gives another date, use the earlier date and report the conflict to the Controller.”*
> *PAY-1 Weekly Payment Run (Payment Procedures page 1): “Vendor payments are released once a week, on Thursday, from the operating account. Each run pays the approved bills that fall due before the next run, so no bill is paid late and none is paid early without a reason.”*

The project manager's billing forecast puts the balance owed to Ironvale Steel Buildings at an invoice on delivery with the vendor file's net 30 terms, so it would be paid in the January 7 run. The signed purchase order says: "Balance of $552,000.00 due on delivery, by wire, before the packages are unloaded." Under CF-4 a payment over $100,000.00 takes its date from the signed contract, and the earlier date is used, so the forecast pays it by wire on December 8, in week 6. That is what takes week 6 below the minimum. If the vendor agrees to net 30, the payment moves to week 10; the Controller confirms the terms with Ironvale Steel Buildings and the project manager corrects one of the two.

Follow-up: Confirm the payment terms of PO-27-0511 with Ironvale Steel Buildings; correct the billing forecast or the order (Project manager). Status: Open.

Left Out of the Forecast

Expected Receipt Without a Signed Contract · Site 27 · $447,265.00

> *CF-2 Receipts (Cash Forecast Procedures page 1): “Forecast a contract payment only when the construction contract is signed, at the net amount from the funds control estimate or the billing schedule, on the expected funds date. A letter of intent or a pipeline entry is listed but left out of the forecast. Every receipt is expected, not cash, until the bank shows it.”*
> *PAY-8 Cash and Approval (Payment Procedures page 5): “Keep at least $250,000.00 in the operating account after committed payroll. Expected receipts are not cash. The Controller and the CFO approve each run over $100,000.00 before release; the batch is prepared for them and never released by its preparer.”*

Business development lists Harborline Storage Co. for Site 27 at $455,000.00: "Letter of intent signed October 28; construction contract in negotiation; no customer deposit" Under CF-2 a contract payment is forecast only when the construction contract is signed; a letter of intent is listed but left out, and PAY-8 says expected receipts are not cash. The forecast leaves out the $447,265.00; last week's forecast counted it in the week of December 21. If the contract is signed and the customer's deposit is received, it can come in next Monday's forecast.

Follow-up: Business development manager: confirm the status of the Site 27 contract and deposit (Business development manager). Status: Open.

Controller to Confirm

Planned Draws Assumed · Draw 9 and Draw 10 · $764,288.00

> *CF-2 Receipts (Cash Forecast Procedures page 1): “Forecast a contract payment only when the construction contract is signed, at the net amount from the funds control estimate or the billing schedule, on the expected funds date. A letter of intent or a pipeline entry is listed but left out of the forecast. Every receipt is expected, not cash, until the bank shows it.”*
>
> *CF-7 Covenants and Variances (Cash Forecast Procedures page 4): “Project Unrestricted Cash at each month-end against the lender's minimum liquidity covenant. Compare the forecast with last week's: the week just ended against what the bank shows, and each later week, with the reason for every change over $10,000.00.”*

Draw 9 is $174,368.00, 80% of $217,960.00 of financed hard costs billed in November, funding December 16; Draw 10 is $589,920.00, 80% of $737,400.00 of financed hard costs billed in December, funding January 15. Draw 8 is approved at $252,800.00. The planned draws assume the lender inspects and funds the full advance on time; they are expected receipts, not cash. Without them, Unrestricted Cash at January 31 would be $720,957.39, below the $750,000.00 of Section 7.3, and $892,311.32 at December 31. The Controller confirms the amounts and dates with the lender before the forecast is relied on.

Follow-up: Confirm Draws 9 and 10 with the lender: amounts, inspection dates and funding dates (Controller). Status: Open.

Assumptions the Controller Confirms

The November 5 batch is approved and released; held bills are released when the AP clerk expects; payroll after November 6 is funded at the latest approved amount; the construction loan rate stays at 6.25%; Draws 9 and 10 are funded in full on time; contract payments fund on the schedule's dates; no early-pay discount is assumed after the batch; Granite Point Business Park is paid from operating cash. The Assumptions tab lists each with its amount.

Open Items and Sign-Off

Every figure above is a forecast. Nothing has been paid, posted or drawn, and no vendor, lender or customer has been contacted. Each payment, entry and draw keeps its own approval (CF-8). This memo is not a sign-off.

Prepared by: Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ Controller · Date: _____